ECONOMIC SURVEYS BY THE OECD

FRANCE

JULY 1962

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
PARIS

O. C. D. E.
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BASIC STATISTICS

THE LAND

Area (1,000 sq. km)	551
Cultivated area (1,000 sq. km.)	188

Major cities (census of 1954):

	inhab.
— Paris	4,832,000
— Marseille	661,000
— Lyon	650,000

THE PEOPLE

Population, 1st January 1962	46,220,000
No of inhabitants per sq. km.	84
Net increase in population (annual average 1956-61)	473,000
Natural increase in population per 1,000 inhabitants (annual average 1956-61)	6.9
Labour force total (estimate 1st January 1960)	19,950,000
Agricultural labour force as a percentage of the total (census of 1954)	27,3
Influx of foreign workers (average 1956-61)	73,290

PRODUCTION

Gross national product in 1961 (billions of New Francs)	309
G.N.P. per head (U.S. $)	1,370
Gross fixed investment (average 1956-61):	
— per cent of G.N.P.	18 %
— per head (U.S. $)	210
Agricultural production as a percentage of G.N.P. (1956)	12,9
No of dwellings constructed in 1961	320,000
Home food production as a percentage of total food availability (average 1953-58)	95

THE GOVERNMENT

Public current expenditure in 1961 (percentage of G.N.P.)	36
General Government current revenue in 1961 (percentage of G.N.P.)	39
Gross fixed investment financed by the State in 1961 (percentage of G.N.P.)	4

Composition of Parliament:

	National Assembly	Senate
— Union for the New Republic	177	33
— Independents	121	65
— Popular Republican Movement and Democratic Centre	57	34
— Socialists	43	50
— Others	82	92
	480	274

Last election: nov. 1958
Next election: 1963

LIVING STANDARDS

Calories per head, per day (1959-1960)	2,940
Consumption of energy per head in 1959 (O.E.E.C. average = 100)	108
Steel consumption per head in 1959 (O.E.E.C. average = 100)	101
No of passenger cars per 1,000 inhab. (1962)	133
No of TV sets per 1,000 inhab. (1962)	70
Average hourly wage rate in metal industries in the Paris region (1961)	NF 3.25

FOREIGN TRADE

EXPORTS	%
Exports of goods and services including those to franc area as a percentage of the G.N.P. (average 1959-1961)	16
Main exports as a percentage of total exports excluding franc area (average 1959-1961):	
— Iron and steel	19
— Textiles and clothing	12
— Machinery and electrical equipment	12
— Cars	10
— Chemical products	9

IMPORTS	%
Imports of goods and services as a percentage of the G.N.P. (including franc area) (average 1959-1961)	15
Main imports as a percentage of total imports (excluding franc area) (average 1959-1961):	
— Machinery and electrical equipment	14
— Petroleum products	13
— Textiles	11
— Chemical products	6

THE CURRENCY

Monetary unit: New Franc

Currency units per U.S. $: 4,94

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The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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FRANCE

INTRODUCTION

1. Production in France continues to expand rapidly and steadily and the balance of payments still shows a large surplus. The economy made a good start in 1962 towards achieving the targets set for 1965 by the Fourth Economic and Social Development Plan. The hazards of agricultural production are such that the extent to which the final results are favourable depends on whether the season is good or bad but generally speaking the machinery of production is now fully capable of ensuring the desired expansion. The "extraordinary vitality" of the French economy thus appears all the more remarkable since it seems to be immune from cyclical fluctuations. Industrial production has increased steadily unchecked by any shortage of manpower, while the slower progress of external demand has had virtually no effect on the rate of expansion. The franc is now soundly established on the foreign exchange markets.

2. The immediate problem for French economic policy is the trend of prices and wages. The rise in prices over the last year has become more marked, while a relatively rapid increase in wages is continuing. The resultant pressure on costs does not seem to endanger the international competitive strength of French products, since it is still less than that recorded in other industrial countries; moreover, the size of France's external surplus gives her a substantial margin of safety. It is nonetheless true that if this trend continues it might threaten the conditions necessary for ensuring expansion combined with stability. It is for this reason that a section of the present report is devoted to the problem of price and wage trends in France.

3. The persistence of a substantial external surplus and the rapid accumulation of foreign exchange reserves are attracting increasing international attention to the state of France's external finances. There is certainly nothing unusual in the fact that a rapidly expanding industrialised country should have a balance of payments surplus, but the use made of the financial counterpart of this surplus is of paramount importance for international economic equilibrium. As it is impossible, for obvious reasons, to divorce the question of international capital

movements from that of the internal financing of the economy, the last section of this report is devoted to a study of France's external financial balance and the internal capital market.

4. International opinion has been greatly impressed by the progress of the French economy since 1959, with its rapid increase of productivity, its control of inflation and the extent of the external financial recovery. There is a desire to penetrate the so-called secrets of the "French miracle" in the hope of deriving lessons which might be applicable elsewhere. There is, thus, a remarkable change from the persistent criticisms which were being levelled against the management of the French economy only a few years ago, and such a reversal of opinion can, of course, be exaggerated. It is undeniable that the progress made by France since 1959 is very significant - the more so in that it has been achieved without inflationary financing and with the economy becoming increasingly outward looking. This progress has, of course, been helped by the expansion of other European countries; and appreciation of the French achievement must not lose sight of the fact that substantial leeway still remains to be made up in regional development, for example, and in education. Moreover, while the years before 1959 are often largely remembered for the persistence of internal and external financial difficulties, the fact remains that they formed a period when a great effort was made simultaneously to establish a satisfactory economic infrastructure, to modernise agriculture and industry, and to reduce real production costs. The factors which have affected the growth of the French economy need to be put into proper perspective; this is the purpose of the first section of this report, which is followed by a brief analysis of the present economic situation.

I. THE CONDITIONS GOVERNING THE GROWTH OF THE FRENCH ECONOMY

5. France holds a leading place among the industrialised countries which have achieved the most rapid progress in output per person employed in the last ten years.[1] In the case of France, however, the outstanding feature is not so much the scale of this progress as its consistency. The annual rate of growth in France is closer to the general trend than it is in Germany or Italy, and the slight deviations recorded in 1952, 1958 and 1959 were primarily due to restrictive measures made necessary by the monetary situation. In recent years, the gross national product has risen by an average of nearly 5.5 per cent every year and variations in the growth rate from one year to another are mainly due to the fluctuations in agricultural production.

1) See Table 1.

Table 1. GROWTH OF G.N.P. PER PERSON EMPLOYED[1)]

	FRANCE	GERMANY	ITALY	UNITED KINGDOM	UNITED STATES
1951	5.4	7.7	7.3	0.4	3.4
1952	2.5	6.3	2.6	-0.4	2.4
1953	3.2	2.5	7.6	4.1	2.7
1954	4.7	4.7	2.9	2.9	0.3
1955	5.5	10.1	2.9	1.3	5.1
1956	3.6	4.2	5.7	2.1	-0.5
1957	5.7	3.1	2.7	1.4	1.3
1958	1.6	2.3	-0.4	3.3	0.6
1959	1.8	5.5	6.8	2.3	4.2
1960	5.4	6.2	4.8	2.7	1.2
1961	4.7	4.2	5.8	0.9	1.7
Yearly average 1950 to 1961 (calculated according to the "Terminal Years" method) ..	4.0	5.1	4.4	1.9	2.0

1) At 1954 prices.
SOURCE : O.E.C.D. Secretariat.

The influence of demand

6. Over the last ten years the trend of demand has been relatively irregular and the comparative importance of its various elements has changed on more than one occasion. Until the stabilization measures which accompanied the 1958 devaluation there was, however, one constant factor, namely the tendency for overall demand to exceed available resources. This was reflected in two ways. In the first place the rise in internal prices was appreciably greater in France than in the other O.E.C.D. Member countries. Between 1950 and 1960 the price index for the gross national product increased in France by 85 per cent, compared with 53 per cent for all European Members of the O.E.C.D. and 29 per cent for the United States. Secondly, the balance on goods and services with foreign countries remained in deficit until 1958 despite the maintenance throughout that period of rigid import restrictions, high customs duties and special measures to aid exports. [1)]

7. Among the elements of demand, private consumption has shown the most regular expansion. Severely held in check in the

1) The balance on goods and services with Franc Area countries, on the other hand, constantly showed a substantial surplus which for most of the time theoretically "offset" the deficit with foreign countries. But this surplus, same earned on protected markets, has not the same economic significance.

years immediately after the war to allow a substantial volume of investment, it increased rapidly in 1950 and 1951 and after a certain slowing down in 1952, maintained fairly rapid progress until 1957. The influence of public consumption has been less continuous; after a sharp rise between 1950 and 1953 (more than 25 per cent in real terms) it showed an absolute drop in 1954 and 1955 following the reduction in military expenditure as a result of the armistice in Indo-China and then again increased appreciably from 1956 onwards due to increased expenditure connected with events in Algeria. Fixed capital formation grew very little during the first years of the decade, its proportion in gross national product falling progressively from 17.4 per cent in 1950 to 15.8 per cent in 1953. It was only from 1954 onwards that it showed any substantial expansion; in 1954 and 1955 it absorbed some resources liberated by the fall in public consumption. From the end of 1956, however, the simultaneous expansion of investment, public consumption and private consumption produced inflation and external payments crises from which the country was only to emerge after the 1958 stabilization measures and the devaluation of the franc.

8. It is noteworthy that during this whole period external demand was not a dynamic factor in French expansion; exports of goods and services, after being relatively stable from 1950 to 1953, showed a substantial increase in 1954 and 1955 levelling off again until 1959. It is also typical that a period of weakening internal demand, such as that of 1952-1953, did not bring about any improvement in the balance of payments, which remained slightly in deficit even during 1954 and 1955, the most favourable years of this period. This situation was mainly due to the feeble interest in exports shown by French producers, which can be explained by the high level of protection enjoyed by the French domestic market.

9. The year 1958 was in every respect a crucial one. The measures taken in the spring of the year, culminating in the monetary and financial reform of December 1958, put a sharp brake on the expansion of internal demand. Due to the rise in prices the volume of private consumption per head of population hardly increased at all in 1958 and 1959, public consumption in real terms was stabilized and the growth of fixed investment was slowed down. The external deficit remained but fell markedly in 1958 mainly as a result of the restrictions on imports. The restrictive measures, probably reinforced by the international recession of 1958-1959 limited the increase in gross national product to 1.8 per cent in 1958 and 2.2 per cent in 1959. In 1959, however, a new factor intervened. The devaluation of December 1958 created conditions in which the measures introduced to encourage firms to increase their sales abroad could really take effect, and a remarkable upsurge of exports took place which continued in the following years. The large external surplus which this produced made a substantial contribution to the renewed expansion at the end of 1959. It should, however, be noted that earlier in the year the Government,

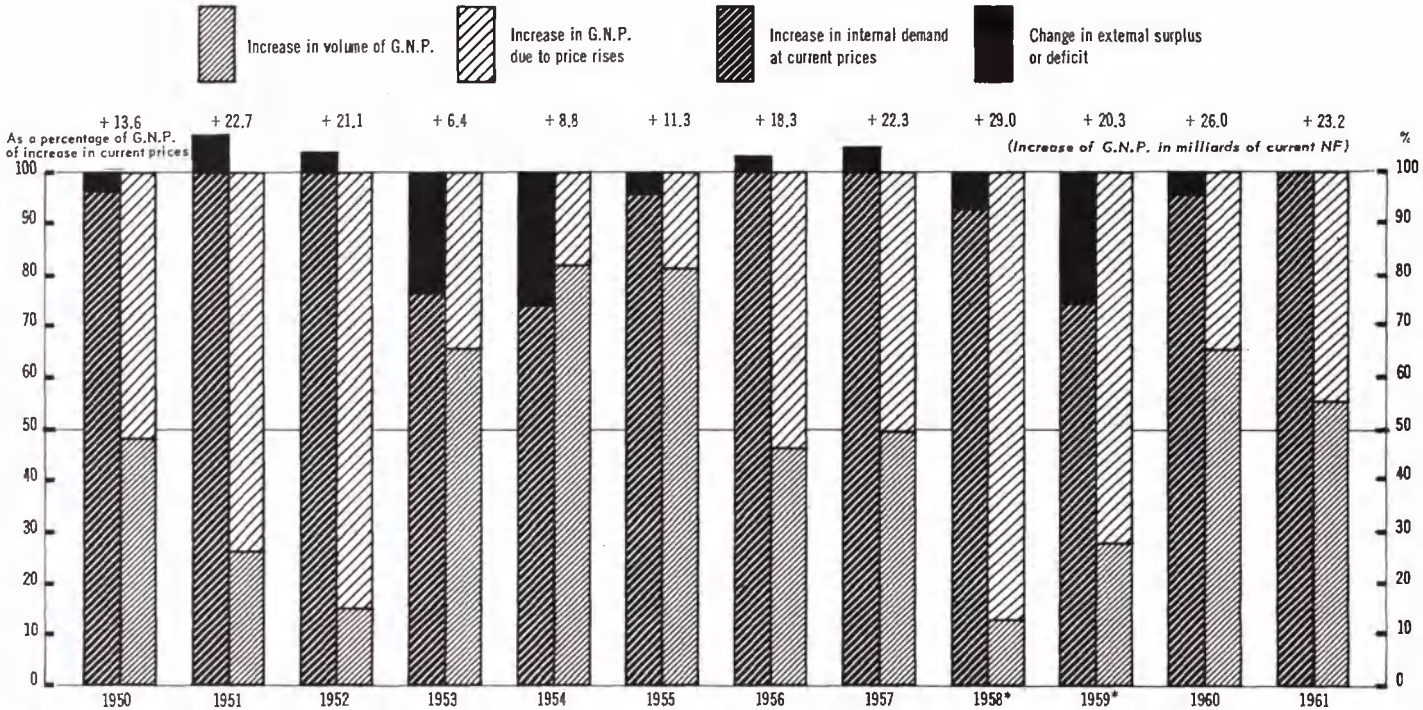
faced with the continued sluggishness of internal demand, had already increased the budget appropriations for capital investment. From 1960 onwards a definite recovery took place in private investment and the process of expansion again spread to the whole of the economy with increased private consumption beginning to play a predominant part from 1961 onwards.

10. To sum up, it appears that over the past 10 years, with the exception of the period of stabilization in 1958 and 1959 the French economy has had to face strong and frequently excessive demand. Internal demand at current prices increased by 183 per cent between 1950 and 1960, an average of 11 per cent per annum, probably the highest rate among Member countries. This expansion in demand was not the result of systematic public policy but was rather due to a combination of various factors. The most persistent, private consumption, developed spontaneously after the years of depression, war and reconstruction. Public finance however, remained a stimulating influence throughout; in fact although current revenue and expenditure were brought into balance at the beginning of the period, public capital investment and the substantial capital transfers or loans made by the public sector injected supplementary demand into the economy amounting in most years to 2.5 per cent of the gross national product. This was not the result of a deliberate policy decision. In addition to the steady increase in current obligations of the state, there was a persistent determination to ensure a certain volume of basic or social investment (housing from 1954 onwards for example) and the exigencies of political events (reflected in particular by the substantial fluctuations in defence expenditure). This considerable demand generated by public and private consumption induced an expansion of private investment over the period 1954-1957 which resumed in 1960. But the persistence of excessive pressure during the greater part of the period before 1959, while it kept the French economy almost constantly at the limits of full employment, was accompanied by monetary instability which led to a wasteful allocation of resources and chronic balance of payments deficits. These difficulties, which were for a long time alleviated by contributions of public capital and by restrictive measures, were finally eliminated only by the two major devaluations of 1957 and 1958.

11. Since then, the problem has taken on a quite different form. The almost complete liberalisation of international transactions and gradual abolition of customs duties in the E.E.C. have moreover set France on a road where there is no turning back, and which excludes resort to temporary palliatives in the event of a major disequilibrium. The result is that the authorities pay much more attention than in the past to the problem of the overall equilibrium of the economy. And in fact expansion has been resumed since 1959 in a more orderly fashion based on developments that seem likely to be permanent. In addition to the very large increase in exports there is the rapid rise in private consumption; the needs of the public and semi-public sectors are still considerable and private business has found that its

Diagram 1

GROWTH OF G.N.P. IN CURRENT PRICES



* Years affected by devaluation.

Source : National Accounts.

investment decisions have been consistently justified by the trend of demand.

Elasticity of supply

12. Quite as important, however, as the persistance of a high level of demand, has been the relative ease with which production has been able to satisfy it. Even with almost constant full employment, it has been rare to find any general strain on the labour market, with the exception of the years 1956 and 1957, while physical productive capacity has never been a major obstacle to expansion. This is all the more remarkable as the population of working age has remained virtually stable and the ratio of fixed investment to national income has consistently remained below that of all the other European Member of the O.E.C.D.

13. There has been no natural growth in the population of working age in the last decade[1] but the flexibility of the labour supply has been maintained partly by immigration from North Africa and foreign countries and partly by considerable internal migration from sectors where there is relative under-employment due to productivity increases, to sectors which are expanding. Each year about 90,000 persons leave agriculture for other employment. Movements of North African labour have reacted to events in Algeria : the excess of arrivals in France over the numbers returning into Algeria, which amounted to 54,000 in 1951, turned to a deficit in 1958. Since 1959, net entries have recovered and amounted to over 30,000 in 1961. Furthermore, the immigration of foreign manpower, which had fallen off sharply after 1957 when 112,000 foreign workers entered employment, is again increasing: 86,000 foreign workers entered France in 1961 compared with about 50,000 in 1960.

14. In spite of this inflow, the number of employed wage-earners is increasing rather slowly : the relevant index, on the base 1954 = 100, averaged 105.7 in 1961 as against 105 in 1960, but it had already reached a similar level in 1957. The working week, which had shortened between 1957 and 1959, lengthened again in 1960 and now stands at about 46 hours. France has thus so far escaped the tendency towards shorter working hours which is fairly general in Europe, and the authors of the Fourth Plan have adopted the hypothesis that this will continue in the coming years. The railway unions, however, have recently demanded and obtained shorter working hours and this may be the indication of a change in the attitude of wage-earners.

15. While there is at present a certain amount of tension on the labour market, the problem in the next few years is likely to be creating sufficient jobs rather than dealing with a shortage of

1) The available labour force of Metropolitan French origin has even declined owing to longer Military Service and the raising of the school-leaving age.

labour. Young people born in the high birthrate years immediately after the war will shortly be coming on to the labour market, the length of military service will be reduced, and repatriation from North Africa seems likely to be substantial. Thus, the Fourth Plan estimates that the active population in 1965 will be nearly 900,000 higher than in 1961. Thus the effort required to provide vocational training for the additional labour force will be considerable.

Capital formation

16. The proportion of total resources represented by investment is not particularly high in France (in 1961, fixed investment represented 18 per cent of the Gross National Product), and one of the main aims of the Fourth Plan is to increase that proportion. It is also common knowledge that, during part of the last decade, investment showed no increase. This has not prevented productive capacity from developing satisfactorily since, in spite of the rapid rate of expansion, there is still a margin of unused capacity : the proportion of firms which declared they could produce more without having to engage additional labour amounted to 57 per cent in March 1962 (this compares with 55 per cent in November 1961). The increase in productivity has also been very marked. Labour productivity (Gross National Product per hour worked) increased at an average rate of 4.6 per cent per annum from 1949 to 1961. "Overall factor productivity" [1], increased at an average annual rate of 3.6 per cent; this gives an approximate measure of the rate of technological progress. The rate of increase was highest in agriculture : an average of 4.2 per cent from 1949 to 1961. The rate in sectors other than agriculture was 3.4 per cent.

17. The effectiveness of post-war investment in France is probably due mainly to the systematic fashion in which it was carried out. State intervention itself guided by the Plan, played a decisive part. About 25 per cent of gross investment is in any case financed out of public funds; but if allowance is also made for investment by local authorities and by the nationalised undertakings with the help of other resources, and for the activities of the financial institutions and specialised agencies (such as the Caisse des dépôts, Crédit national, Crédit foncier) more or less controlled by the State, the proportion of investment over which the public authorities can exercise direct control is really about 50 per cent.[2] Priorities were thus established which made it possible rapidly to ensure the satisfactory development of basic industries. The decisions in favour of the investment necessary for long term growth inevitably created temporary inbalances in the economy; for example, the housing crisis has lasted

1) This concept, calculated according to the formulae developed by M.L.A. Vincent, takes account not only of labour input but also of the capital consumed and current purchases from other sectors. See "Etudes et Conjoncture", May 1961 and May 1962.

2) See Table 2.

Table 2. FINANCING OF INVESTMENT IN METROPOLITAN FRANCE

In NF '000 million at current values

	1956	1957	1958	1959	1960	1961 PROVISIONAL ESTIMATE
Public funds [1]	8.6	9.3	10.3	12.4	12.5	13.3
Resources of specialised organisations and insurance companies [2]	2.6	2.7	2.8	3.2	4.6	4.7
Capital market [3] — Borrowings of specialised organisations	0.6	1	0.8	1	1.1	1.6
Capital market [3] — Other borrowings and share issues	2.8	3.4	4.2	5.6	5.6	7
Medium-term credit [4]	3.6	5.5	5.5	4.9	6.2	6.2
Balance of other uses and resources	15.6	17.9	20.5	19	19.7	21.8
Total (Gross fixed capital formation in Metropolitan France)	33.8	39.8	44.1	46.1	49.7	54.6
Percentage of fixed capital formation in Metropolitan France						
Public funds	25.3	23.2	23.4	26.9	25.2	24.4
Specialised organisations, insurance companies and finance market	18.3	18.1	17.7	21.2	22.8	24.3
Medium-term credit	10.5	13.9	12.4	10.7	12.4	11.4
Balance of other uses and resources	45.9	44.8	46.5	41.2	39.6	39.9
Total	100	100	100	100	100	100

1) The total expenditure appearing in the State budget but excluding consolidation of special building loans.

2) Not including loans of the Caisse des Dépôts to the auxiliary budget of the Post Office or consolidation of special building loans by the Crédit Foncier; the amount of loans issued on the finance market by the specialised organisations is deducted from the amount of loans.

3) The amounts supplied to the State by the sale of oil certificates, State, Post Office and special establishments' borrowings and issues, and capital increases of companies exercising their principal activity outside Metropolitan France are not included in resources supplied by the finance market.

4) Gross amount of credit used in the year (variation of outstanding amounts plus amortization). Not including export credits and credits to the Saar.

SOURCE: 7th Report of the Economic and Social Development Fund.

longer in France than in other countries of comparable development. The choice now proves however to have been a fortunate one. For some years past productive investment by the private sector has increased rapidly, enabling plant to be modernised and capacity to be expanded. This situation favours the continuing harmonious development of the economy.

18. A factor which has played an undeniably important role although it cannot be expressed in quantitative terms is the need to modernise and recover lost ground. During the thirties and the war years the structure of the French economy had become increasingly outmoded and this gave ample scope for the increases in productivity both in industry and agriculture. These increases which were particularly striking in agriculture made a major contribution to raising the growth rate especially when specific Government efforts to encourage productivity growth began to bear fruit. During the fifties, a profound change took place in the attitude of business leaders; the creation of the E.E.C. encouraged this change and, more recently, the stimulus of international competition has been all the more keenly felt since French industry for long enjoyed a high level of protection.

Growth policy

19. The planning methods adopted immediately after the last war made a large contribution to the rapid and steady growth of the French economy. The planning system which, it must be emphasized, was of a flexible and indicative nature, has proved a valuable instrument for keeping the economy on the right lines. It showed what could be done with the resources available, what bottlenecks had to be eliminated and the contribution that had to be made by each sector if balanced growth were to be achieved. The plan served as a guide for State intervention, especially in the field of capital investment, while the leaders of private business, who were called upon to help in working out the Plan, became increasingly alive to the advantages of planning, especially in heavy industry where decisions can only be taken on the basis of long-term forecasts. The national economic budget, which is drawn up each year and broadly defines the Government's economic policy, takes into account the targets set by the Plan and ensures that demand and supply are in balance. When delays were encountered in carrying out the Third Plan in 1958 and 1959, a two-year Interim Plan was adopted outlining the conditions required to redress the situation. The targets set by the Fourth Plan (1962-1965), which has just been adopted by Parliament, are ambitious - gross national product is to grow at a rate of 5.5 per cent per annum - but at the same time they do not seem unattainable in the light of the growth potential of the French economy.

20. The educational role of planning has of course been vital. After the years of stagnation between 1930 and 1938 which left a

strong imprint on the minds of entrepreneurs, it was necessary to revive the confidence of producers in expansion and to extend this confidence to all activities and all regions. This took time and expansionary policies only really began to find favour in business circles in the course of 1954 and 1955. Indeed at the regional level, and in certain trades, the change in outlook is not yet complete. But the very close co-operation which has become established in many fields between the authorities and private business has become one of the outstanding characteristics of French economic life.

21. Perhaps, however, the salient feature of French planning is that it has allowed the rational co-ordination of the State's economic efforts. The authorities have not confined themselves to setting long-term or annual production targets. They have taken a large share both directly in public investment and in financing the private investment essential to the success of the plan especially in the early stages. Their role remains important in spite of the development of the economy and of other sources of investment finance. It enables them to influence the overall, sectoral or regional levels of demand, and also the direction of investment and growth strategy.

22. Not all the obstacles to expansion have, however, been overcome. On the one hand, the choices made in the Plans or the limitations imposed by economic conditions have had their counterpart in lags and gaps in development which must now be made good. This applies particularly to housing and education. Again, as always happens in a rapidly growing economy, the necessary structural changes are bound to clash with vested interests and a certain resistance is appearing tending to cause inflexibility and rigidity. The very speed of growth has brought its own problems especially in agriculture. Achieving the balanced development of the different regions of the country has presented some difficulties; an effort is currently being made to combat the excessive attraction of certain growing points (19 per cent of the population is concentrated in the Paris area) and important steps have been taken to stimulate regional development. A plan is to be drawn up for each of the twenty-one Administrative Regions* while the planning authorities are at present engaged in working out the regional implications of the National Plan. Finally, the tensions which are developing in France, as in all modern economies, over the question of wages and the reward for labour seem to indicate that, in addition to the programming of production and investment, the distribution of income must be accepted by the authorities as one of the major problems they have to deal with.

* Fifteen are already completed.

II. THE PRESENT ECONOMIC SITUATION

23. Production continues to expand rapidly. This expansion is the result mainly of the development of consumption; the increase in private business investment, which was particularly marked in 1960 and 1961, is tending to slow down. Price indexes, which rose appreciably during the second half of 1961, became stable during the early months of 1962 but a further sharp increase in the prices of certain foodstuffs occurred in the spring. Over the same period, wages have been rising without interruption. The trend of the balance of payments continues to be favourable, although trade with foreign countries seems to have been deteriorating since the beginning of 1962, while the surplus trade balance with the franc zone countries is falling.

The recent trend of activity in the principal sectors

Agriculture

24. Agricultural production, which had risen by 7.9 per cent in volume from 1959 to 1960, showed a very slight decline in 1961 (- 0.6 per cent). This trend is explained by bad weather which resulted in a reduction in important crops such as potatoes and wine. On the other hand, animal production increased overall by 5 per cent. In 1962, the persistent cold weather during the spring held back crops and its effects on prices were particularly noticeable, but it can be assumed that in view of the mediocre results of 1961, agricultural production for 1962 will finally show a definite increase, probably about 5 to 7 per cent.

Industry

25. The National Accounts indices of industrial production compiled on a yearly basis show an increase of 5.5 per cent in 1961 compared with 1960, whereas the rise from 1959 to 1960 was 7.5 per cent.* The slowing down of industrial growth which the annual statistics seem to suggest is in fact only apparent. An examination of monthly indices, adjusted for seasonal variations, shows that the annual rate of growth between the beginning and the end of 1961 was the same as that registered between the beginning and the end of 1960, about 6 or 7 per cent; some decline during the early months of 1961 was offset by more rapid progress in the following months. Economic conditions in the motor-car industry were the chief cause of certain irregularities in the growth of the indices of industrial production. The decline in motor-car exports to the United

* According to the indices compiled by the I.N.S.E.E. (National Statistical Institute the contrasts are even more striking: + 5 per cent in 1961 against + 11 per cent in 1960 for the general index of industrial production.

States compelled manufacturers to revise their production plans. The index of production of private cars, adjusted for seasonal variations, had levelled off by the early months of 1960 but afterwards it dropped; the index recovered briskly during the second half of 1961. On an annual basis, the output of motor-cars and cycles fell by 7 per cent between 1960 and 1961. As in many other countries, the expansion of the iron and steel industry was also hesitant in 1961, whilst coal production continued to fall. Most other branches showed appreciable progress, particularly the aluminium industry, the machinery and appliances industry, aircraft construction, chemicals and certain textiles.

Building and public works

26. Activity in building and public works largely depends on the extent of public intervention in housing, whether in the form of special loans by the Crédit Foncier (which are largely consolidated by the Treasury) or loans to organisations providing low-rental housing (H.L.M.). In 1961, building made fairly rapid progress, increasing by 5 per cent in volume. Housing construction was slightly higher; more than 320,000 units completed, against 314,000 in 1960, whilst the expansion was even greater in the other branches of this sector such as industrial building and public works. There was also a considerable increase in the number of building permits issued for housing particularly at the end of the year, and in the licences granted for industrial building. Efforts are being made to achieve the target of 350,000 housing units a year as quickly as possible and efforts are being specially directed towards H.L.M. building for rental. Bad weather, however, held up main structural work and had an unfavourable effect on activity in the building industry in the early months of 1962.

Prospects for 1962

27. Generally speaking, managements are optimistic about the trend of production in 1962.* The index of industrial production, adjusted for seasonal variations, was rather more hesitant in the first quarter of the year than in the second half of 1961, but in April and May it tended to recover. In any case, the level of industrial output at the beginning of 1962 suggested that production (excluding building) might easily increase between 1961 and 1962 by about 6 per cent. In the light of the substantial increase in agricultural production, the rate of growth of gross national product should be higher than in 1961 and even exceed the figure of 5.5 per cent set as the average annual target in the Fourth Plan.

* See Table 3.

Table 3. PRODUCTION TRENDS AS SEEN BY BUSINESS LEADERS

	IN JUNE 1961 FOR THE AUTUMN		IN NOVEMBER 1961 FOR APRIL 1962		IN MARCH 1962 FOR JULY 1962		IN JUNE 1962 FOR THE AUTUMN	
	RISING	FALLING	RISING	FALLING	RISING	FALLING	RISING	FALLING
	%	%	%	%	%	%	%	%
Production in general .	44	8	48	5	50	5	42	9
Production of the actual firms questioned	33	9	39	10	45	6	30	10

SOURCE: I.N.S.E.E.

Manpower problems

28. At a time when a number of European countries are experiencing a severe shortage of manpower, France too, has experienced some tightening of the labour market. This is reflected, for example, in the decline since 1959 in the numbers of unemployed receiving assistance and unsuccessful applications for employment, and the corresponding rise in the number of unfilled vacancies. The pressure is not general, but affects certain sectors such as engineering, certain areas (the Paris Region for example) and certain levels of skills particularly technicians. It seems, however, that the situation has eased since the beginning of 1962 when the number of unfilled vacancies, adjusted for seasonal variations, ceased to rise. Moreover, according to the periodic surveys of business expectations made by the I.N.S.E.E., business leaders are now complaining rather less about shortages of labour. The proportion of firms prevented from increasing output by labour shortage has in fact fallen from 9.5 per cent in November 1961 to 7 per cent in March 1962.

Principal factors of demand

29. Whereas external demand was the most dynamic demand factor in 1959 and 1960, it subsequently slackened to some extent and in 1961 investment became the mainstay of the expansion. The renewed growth of private consumption which occurred in 1960 intensified in 1961 and seems likely to be even more rapid in 1962.

Foreign demand

30. Exports of goods, which increased by 29 per cent from 1958 to 1959 and by 22 per cent in 1960, rose by a mere 5 per cent in 1961. This sharp check was largely due to an 8 per cent drop in exports to countries in the Franc Zone in 1961, owing to events in Algeria. Sales to foreign countries also expanded less rapidly (+ 11 per cent from 1960 to 1961, compared with + 25 per cent from 1959 to 1960), although there were definite signs of recovery during 1961. Given the trend of imports of goods and services, the surplus of exports of goods and services to the rest of the world levelled off between 1960 and 1961. Judging by the trend of foreign trade in the first few months of the current year, it will probably take a downward turn between 1961 and 1962.

Investment

31. Investment by administrations* increased substantially in 1961 (14 per cent higher in volume than in 1960), but the most

* This covers investment carried out by the Central Government, local authorities and some private administrations but excludes investment by the nationalised undertakings.

Table 4. EXPORT PROSPECTS ACCORDING TO EXPORTERS [1)]

In percentage

	MARCH 1961 TO JUNE 1961		JUNE 1961 TO OCTOBER 1961		NOVEMBER 1961 TO FEBRUARY 1962		MARCH 1962 TO JUNE 1962		JUNE 1962 TO OCTOBER 1962	
	RISING	FALLING	RISING	FALLING	RISING	FALLING	RISING	FALLING	RISING	FALLING
General prospects (unweighted)	26	20	28	16	29	14	33	13	29	14
Personal prospects (weighted)	30	23	22	13	28	15	32	15	23	15

1) Answers indicating stability not shown in this table.
SOURCE: I.N.S.E.E.

striking development was the sharp expansion in private firms' capital expenditure (+ 13 per cent from 1960 to 1961). As the volume of investment by nationalised undertakings remained stationary during the period and house-building barely increased, the volume of total investment rose by 8 per cent between 1960 and 1961, compared with 6 per cent the year before. In 1962, private investment is likely to slow down, judging by the I.N.S.E.E. surveys* of business intentions, while house-building will increase only slowly. On the other hand, investment by administrations will show a fresh increase (about 10 per cent), and investment by nationalised undertakings will again begin to expand probably by about 4 per cent. Total investment will show an increase in 1962 estimated at about 6 per cent.

Private consumption

32. Household consumption increased faster than the National Product in 1961. This was partly due to the very substantial rise in household incomes: aggregate wages rose by nearly 11 per cent, and social security payments by even more. Real incomes, however, rose more slowly owing to a 3.5 increase in retail prices. Profits rose to a rather limited extent, gross trading profits increasing by less than 3 per cent. Thus, although personal savings in 1961 continued at roughly the same level as in 1960, there was a fall in retained profits, which led to a further increase in firms' indebtedness. The upward trend of private consumption seems likely to continue in 1962: incomes will probably rise still faster, while it is hoped to keep the price increase within bounds. The I.N.S.E.E. surveys indicate a substantial increase in private purchases of motor-cars, and sales of other durable consumer goods will probably also expand.

Stocks

33. Variations in stocks are largely governed by the agricultural situation. In 1961, the rise in stocks was much less than in 1960, which was an exceptional year in this respect. If harvests are good in 1962, stocks will show a further substantial rise.

The trend of prices and wages

34. During the second half of 1961, prices rose appreciably for a variety of reasons; retail prices rose by 4.5 per cent in six months and wholesale prices by 5.5 per cent. At the beginning of 1962, stability seemed to be restored, but in March, April and May food prices began to move up again as a result of the long hard winter. This upward movement halted in June but

* The probable increase in investment by private firms can be put at 7 per cent.

Table 5. ORIGIN AND USE OF RESOURCES

	1958	1959			1960			1961			1962
		INCREASE OR DECREASE		BILLIONS OF CURRENT NF	INCREASE OR DECREASE		BILLIONS OF CURRENT NF	INCREASE OR DECREASE		BILLIONS OF CURRENT NF	INCREASE OR DECREASE IN VOLUME AS % 1)
	NF BILLION	IN VOLUME AS %	IN PRICES AS %		IN VOLUME AS %	IN PRICES AS %		IN VOLUME AS %	IN PRICES AS %		
1. Gross National Product ..	239.6	+ 2.3	+ 6.0	259.9	+ 6.4	+ 3.4	285.9	+ 4.4	+ 3.5	309.1	(+ 5.6)
2. Expenditure by consumers	158.2	+ 1.7	+ 5.4	169.7	+ 5.9	+ 3.7	186.2	+ 5.5	+ 3.5	203.0	(+ 6.0)
3. Government expenditure on goods and services ...	34.2	+ 4.6	+ 8.7	38.9	+ 1.7	+ 3.4	40.9	+ 4.7	+ 5.1	45.0	(+ 4.4)
4. Gross fixed capital formation by firms and households	39.3	- 1.0	+ 4.8	40.8	+ 6.8	+ 1.6	44.3	+ 7.6	+ 2.1	48.7	
5. Gross fixed capital formation by Government ...	5.0	+10.0	+ 3.6	5.7	+ 1.2	+ 2.2	5.9	+12.5	+ 2.4	6.8	(+ 5.8)
6. Changes in stocks	+ 5.2			+ 2.0			+ 5.3			+ 2.5	
7. Exports of goods and services	32.6	+13.5	+ 6.5	39.4	+15.3	+ 2.3	46.5	+ 5.4	+ 0.4	49.2	(+ 4.4)
8. Imports of goods and services	-34.9	+ 0.6	+ 4.2	-36.6	+16.7	+ 1.1	-43.2	+ 6.9	- 0.1	-46.1	(+ 6.8)
9. Surplus of exports over imports	- 2.3			- 2.8			+ 3.3			+ 3.1	

1) Estimates by the Secretariat.
SOURCE: Les Comptes de la Nation.

it was enough to bring about a second increase in six months in the guaranteed minimum wage. There is nothing disturbing about this in itself but it comes at a time when the pressure on wages is strong; during the first quarter of 1962, wage rates in the private sector rose by a further 2 per cent while a number of important claims are outstanding in the public sector. The gross volume of wages, taking account of overtime and employment trends, is thus increasing by more than 10 per cent per year.

Balance of payments

35. France's balance on current payments with foreign countries showed a surplus of $954 million in 1961 as against $688 million in 1960. The improvement is centred mainly in the trade balance, net income from services tending rather to decline. As the balance on goods and services (especially services) with foreign countries seems to have been following a downward trend since the beginning of 1962, the surplus on current payments can be expected to fall slightly below the 1961 figure.

36. The inflow of private capital from abroad, especially in the form of portfolio investment, increased during 1961 and although direct foreign investment by French nationals increased appreciably, the net inflow of long-term private capital into France was even greater than in 1960. Overall, the resources arising from the surplus on the balance on current payments and private long-term capital movements, amounted to $1,287 million in 1961 compared with $939 million in 1960. These net resources are wholly provided by the O.E.C.D. Member countries; in 1961, the inflow from E.E.C. countries amounted to $331 million, from the United States and Canada $409 million, and $496 million from the other O.E.C.D. countries. On the other hand, France had a deficit of $7 million with the rest of the world.

37. Movements of long-term public capital helped to reduce these surpluses. This was reflected in the net outflow of $440 million of capital in 1961 compared with $185 million in 1960. Early repayments amounted to $320 million in 1961 compared with $185 million in 1960. They were continued in 1962; $57 million were repaid in February, $59 million in April, and $356 million in July. In this way, the public foreign debt was reduced to $1,179 million by the end of July 1962.

38. Taking account of these various transactions and short-term capital movements, there was at the end of 1961 a currency surplus of $913 million compared with a surplus of $532 million in 1960. This was reflected in an improvement in France's liquid holdings of foreign currency. As the banks' net holdings of foreign currency fell in 1961, the increase in net official holdings was all the more marked ($1,018.5 million).

Part of these resources was used to reduce by $225 million the commitments to the I.M.F. and, allowing for the trend of bilateral foreign currency holdings and other foreign currency commitments, the increase in official gold and convertible currency holdings was no more than $868 million. After increasing rapidly during the first five months of 1962 the reserves fell back slightly in June. The maturing of foreign debt and the conversion into dollars of Canada's franc drawings on the I.M.F. more than offset the inflow of foreign exchange which amounted to around $1,140 million. In July the reserves were greatly reduced by the large advance repayment of debt which was made in that month.

III. COSTS AND PRICES

39. The problem of costs and prices in France presents two radically different aspects before and after 1958. From the end of the War up to 1958 the upward movement of prices reflected the excessive pressure of overall demand which marked the greater part of that period. The effect on prices was heightened by the existence of extensive controls on imports which mitigated the influence of rising prices on the balance of payments. The stabilization measures of 1958-1959 changed the whole character of the problem. Despite this, however, the upward movement of prices did not stop and though appreciably slower after 1958-1959, it was more marked than in the other major industrial countries, even allowing for the adjustments involved in the 1958 devaluation.* As an analysis of the earlier period would be purely of historical interest the following observations relate to recent years only.

Price trends since 1958

40. General price indices in France, wholesale and retail, have kept fairly well in step with each other since 1958 though the wholesale price index has been more unstable than the retail. The devaluation in December 1958 was accompanied by a sharp rise in prices, about 4 per cent for retail and 5 per cent for wholesale, explained by higher import prices and the abolition of a number of subsidies as part of the 1959 budget reform. Prices became stable from the early months of 1959 onwards and since then, have been steady during the first half of every year, rising to a varying extent in the second half. The June to December rise in the wholesale price index was 5.6 per cent in 1959, 3.1 per cent in 1960 and 6.2 per cent in 1961, and in retail prices 2.3 per cent in 1959 and in 1960 and 4.4 per cent in 1961. This movement therefore became more

* See Table 6.

Table 6. COMPARATIVE TREND OF PRICES AND WAGES IN VARIOUS COUNTRIES

1959 = 100

MONTHLY AVERAGE	FRANCE	GERMANY	UNITED STATES	ITALY	UNITED KINGDOM	SWITZERLAND
Retail prices						
1960	103.6	101.3	101.6	102.3	101.0	101.4
1961	106.4	103.9	102.7	104.4	104.4	103.4
1962 (1st quarter)	110.4	106.4	103.2	107.1	107.4	106.2
Wholesale prices						
1960	102.5	101.2	100.2	100.9	101.3	100.6
1961	104.7	102.6	99.8	101.1	104.0	100.8
1962 (1st quarter)	107.2	103.4	100.3	102.8	105.9	102.8
Hourly wage rates in manufacturing industries						
1960	107	107	103 1)	105	105	104
1961	116	115	106 1)	109	111	108
1962 (1st quarter)	123 2)		109 1)	116 3)	113	112

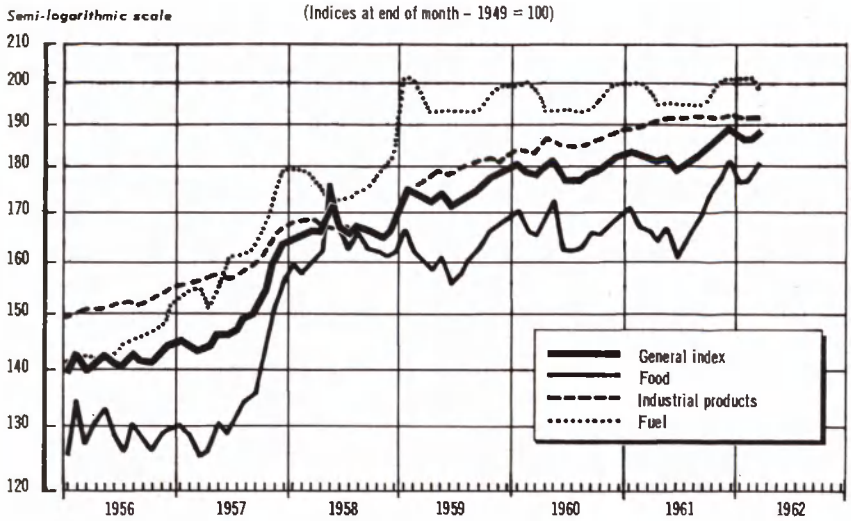
1) Hourly earnings.
2) At first April.
3) February 1962.
SOURCE: O.E.C.D. Statistical Bulletins.

Diagram 2

PRICES

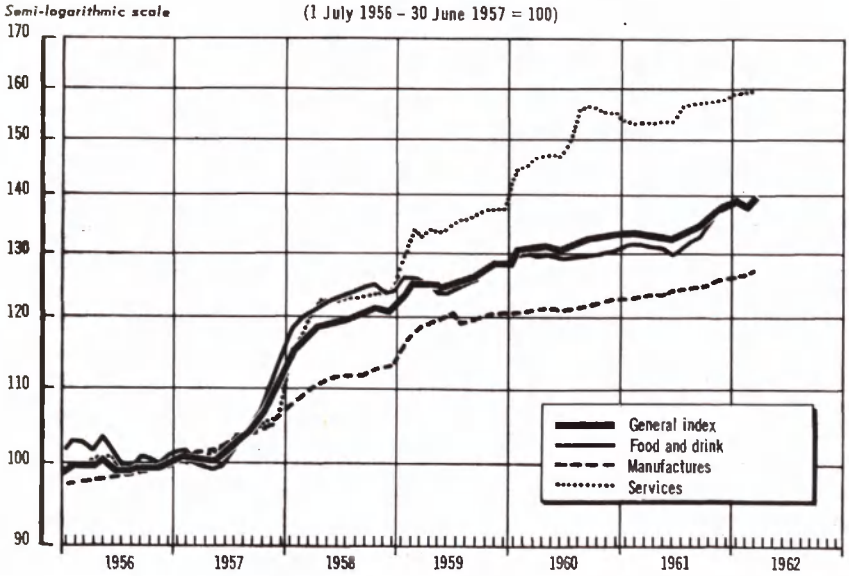
WHOLESALE PRICES

(Indices at end of month – 1949 = 100)



RETAIL PRICES (250 articles)

(1 July 1956 – 30 June 1957 = 100)



Source : Etudes et Conjoncture, March- April 1962.

accentuated in 1961. The early months of each year usually show a certain slackening in wholesale prices and stabilisation of retail prices. In 1962, however, prices began to go up again in March, April and May, apparently due to an unduly prolonged winter.

41. The retail price index which covers 250 articles is based solely on the expenditure of households in the Paris region whose head is an industrial or office worker. It is nevertheless a fairly accurate reflection of the trend of the cost of living for consumers as a whole. It showed an average increase of 13.6 per cent between 1958 and 1961 while, according to the National Accounts index retail prices increased by 13.4 per cent over the same period. The wholesale price index is less representative; in 1961 it reached 109.7 (1958 = 100) while the National Accounts index showed an increase of 12.1 per cent over the same period. This discrepancy is due to the excessive weight given to the price of raw materials and semi-finished products in the official wholesale price index to the detriment of the price of industrial finished products; this makes the index relatively sensitive to the trend of import prices, which have on the whole been stable since 1959.

42. The major fluctuations in prices especially the pattern of periods of rising prices followed by temporary stabilization, are due in large part to the trend of food prices. During the second half of 1959, wholesale food prices went up by 8 per cent and retail prices by 5 per cent mainly as a result of the summer drought in 1959 and its effect on producers' prices for dairy products and meat. In 1960, when the harvest was plentiful farm prices for vegetable products tended to show a fall, while the price of animal products showed a slight rise. This rise was rather more marked at the wholesale stage, where food prices rose by about 5 per cent between August 1960 and January 1961. This rise was passed on though only partially to the consumer. A similar rise in agricultural prices occurred again in the second half of 1961 but as the harvest was not so good the pressure on producers' prices was more marked and all prices were affected. The main feature of this trend is that it is virtually irreversible. The effects of a wave of increases are only partially counteracted during periods of stability since the mechanism of agricultural price support works effectively in preventing too great a slump in producers' prices for the major products, and the wholesale and retail markets are very slow to respond to downward trends.

43. Industrial prices show a much more favourable trend. Wholesale price for industrial products rose fairly fast immediately after the devaluation increasing on average by 7.3 per cent between 1958 and 1959. The upward movement continued steadily although at a pressively slower rate. The index rose by 4.8 per cent between 1959 and 1960 and by 3.1 per cent between 1960 and 1961. Since the middle of 1961 wholesale industrial prices have been virtually stable.

This was helped by the extension of import liberalisation to all industrial products and the reduction of customs duties under the Treaty of Rome, and by the recent acceleration of tariff reductions. The slackening of the rise in retail prices of manufactured goods in 1960 was rather more marked than in the case of wholesale prices. But whereas the upward movement in wholesale prices has been checked since mid-1961, it still persists to some extent in retail prices. In particular, a slight increase in the selling price of motor cars took place at the beginning of 1962.

44. Consumer prices have also been affected by the relatively rapid increase in the price of services, which rose by 28 per cent between 1958 and 1961. These prices are generally more sensitive to wage increases than are the prices of goods. This is also a field in which administrative decisions play a relatively important part (for example statutory rent increases, higher public transport fares, entertainment admission charges, etc.). These adjustments are normally upward, and the reduction in medical charges at the beginning of 1961, in connection with the review of social security benefits, should be noted.

Wage and price trends since 1958

45. Data on wage rates in the private sector in France are obtained through a quarterly survey carried out by the Ministry of Labour, and covering all firms with more than ten employees. Since January 1959 they have shown a steady rise of about 7 to 8 per cent per annum. These statistics represent the rates actually paid whether they are fixed by mutual agreement or under the conventions worked out by individual firms, which have been becoming more general in recent years.* Collective agreements covering whole sectors have generally applied in specified regions only; they are now the exception in any case. There is thus a fairly wide disparity in wages, which are largely determined by local market conditions. The concept of wage drift is therefore hardly applicable in France. Nevertheless, the case of the trend of real hourly earnings is not identical with that of hourly rates, since it is affected by longer hours worked which rose by an average of nearly one per cent between 1959 and 1961 due to increased overtime, and also by variations in fringe benefits, bonuses, etc. On the whole, over the period in question, real earnings went up a little faster than wage rates, about one per cent per year.

46. The Ministry of Labour surveys do not cover all wage earners. They exclude the supervisory grades and executives in private business, the staff of nationalised undertakings and

* Wages in France are fixed freely by agreement between the parties although indexation clauses have been forbidden since 1958. Only the guaranteed national minimum industrial wage (S.M.I.G.) continues to be adjusted automatically in the light of retail price movements.

public officials. The information as to the trend of remuneration of supervisory grades and executives is very imperfect, but from the returns covering the 5 per cent payroll tax* it seems clear that the range is fairly wide. In the nationalised undertakings hourly rates which fell behind slightly in 1959 compared with those in private industry, now benefit from substantial increases, amounting to 11 per cent in 1961 so that the balance has to some extent been redressed. Similar improvement though slightly delayed, is also taking place in the case of civil service salaries which went up by an average of rather less than 4 per cent between 1959 and 1960, by more than 6 per cent between 1960 and 1961, and more than 11 per cent between January 1961 and January 1962.

47. Wages and salaries strictly defined, amount to only 43 per cent of household incomes.** Social security benefits and assistance account for another 19 per cent. Household revenues derived from income from capital and self employment activities are therefore particularly high. Gross income per person actively employed in agriculture depends largely on the results of the harvest; thus it fell slightly in 1959, recovered briskly in 1960 (+ 16 per cent) and went up relatively slowly in 1961 (+ 6 per cent). In the case of other types of self employment, including the liberal professions, the increase in income per active person has been steady and fairly comparable to that of hourly wages, amounting to about 8 per cent per annum on average from 1958 to 1961. Income from capital (interest and dividends) went up less than other forms of income; 25.8 per cent between 1958 and 1961.

48. The purchasing power of income receivers has been affected by rising prices and has developed somewhat irregularly, as the price curve takes the form of a succession of plateaux separated by fairly sharp upward movements. According to the I.N.S.E.E. surveys,*** the purchasing power of workers, which increased rapidly up to 1957, fell from 1957 to 1958, and began to rise again in the second quarter of 1959, the rise either slowing down or being checked during the second half of each year. Taking as a base the average for the years 1958 and 1959, the purchasing power of unmarried workers' monthly net earnings after taxation amounted to 102.5 on 1st January 1960, 107.5 on 1st January 1961, and 114.0 on 1st January 1962, a rise of more than 5 per cent both in 1960 and in 1959. In the case of workers with dependants, the rise in pur-

* According to these same statistics, the volume of wages paid to practically all wage earners in industry, both nationalised and not nationalised, in trades and the professions, increased by an average of more than 10 per cent per annum between 1958 and 1961. Allowing for the increased activity of wage earners (through growth in the labour force and lengthening of the working week) and the wider range of wages, this information seems perfectly consistent with that on workers' wages compiled direct by the Ministry of Labour.

** The proportion of wages of workers in private business is only 36 per cent of the total volume of wages.

*** Cf. the review "Etudes et Conjoncture", March-April 1962.

chasing power since 1958-1959 was rather less, despite some readjustments in family allowances.

49. The unfavourable trend in the purchasing power of wages and other forms of income in 1958 and early 1959 probably reflects a slowing down in the growth of national production but it is explained largely by the pressing need to restore internal and external equilibrium. A larger part of the national income was absorbed by public savings; net national income after taxation amounting to 77.3 per cent of net national product at 1957 market prices, accounted for only 76.2 per cent in 1958 and 75.1 per cent in 1959. On the expenditure side a relative contraction in private consumption took place. From 66.6 per cent of the gross national product in 1957 it fell to 65.3 per cent in 1959, and this enabled the trade balance to move from deficit into surplus.

50. Since the end of the war, money wages have shown a steady tendency to increase faster than labour productivity, but as the growth in real wages has frequently lagged behind the growth in productivity this is more a question of reciprocal adjustments in prices and wages than an independent wage push. In 1960 the increase in productivity in industry was still such that the pressure of wages on costs was easily absorbed. The situation seems to have changed in 1961. Profit margins are now tending to shrink; the gross undistributed profits of companies, which increased by 10 per cent in 1959 and 11 per cent in 1960, went up by only 3 per cent in 1961.

Table 7. WAGES AND PRODUCTIVITY
(percentage annual variation)

	NOMINAL HOURLY RATE	PURCHASING POWER OF AVERAGE HOURLY EARNINGS	G.N.P. PER WORKING HOUR
1950	+ 9.5	+ 1.5	+ 7.5
1951	+28.8	+ 9.3	+ 5.1
1952	+16.3	+ 3.6	+ 3.1
1953	+ 2.4	+ 4.3	+ 4.3
1954	+ 6.5	+ 7.9	+ 4.5
1955	+ 7.3	+ 5.8	+ 5.5
1956	+ 8.9	+ 8.8	+ 4.5
1957	+ 8.1	+ 4.7	+ 5.0
1958	+11.5	- 2.6	+ 1.7
1959	+ 6.3	+ 1.0	+ 4.0
1960[1]	+ 6.7	+ 4.6	+ 5.1
Average annual variation 1949-1960	+10.1	+ 4.4	+ 4.6

1) Provisional figures.

SOURCE: "Etudes et Conjoncture", May 1961.

Price and wage policy

51. The ways in which the authorities intervene in the field of costs and prices can be classified according to the situations which call forth such measures. Where unforeseeable developments create pressure on prices in sectors from which price increases are likely to spread, a wide range of different types of action can and has been taken, such as running down stocks (in the case of butter and meat), opening the frontier, price control (meat in November 1961, potatoes in April 1962), or limiting profit margins, (footwear in November 1961, certain vegetables in May 1962). Systematic resort to subsidies to hold down the prices of products which have the greatest effect on the cost of living index has been abandoned since the experience of 1956 and 1957. The guaranteed national minimum industrial wage has had to be increased five times since 1959* owing to rises in the reference index. At present it is reckoned that while these increases affect only a limited number of industrial wage earners their influence on agricultural wages remains significant.**

52. The authorities have also been disturbed by the rapid and persistent rise in wages as a whole. They have stated that "wage increases should be granted at a sufficiently cautious rate to avoid compromising in any way general price stability" and that this rate should be "adjusted to the progress of overall national productivity". They tried to apply this principle to wages and salaries in the public sector, but in view of the wage trend in the private sector they were ultimately forced to grant more substantial wage increases than they originally intended. In the private sector the Government has tried to use the weapon of persuasion. In their regular contacts with the authorities employers have been strongly urged to avoid any excessive wage increases and have also been given more solemn warnings in the form of two letters, one in November 1959 and one in March 1961, from the Prime Minister to the President of the National Employers Confederation. Force of circumstances has, however, limited the effectiveness of these appeals.

53. The competition which is making itself felt not only between the different categories of wage earners*** but also between the recipients of different forms of income has encouraged the authorities to widen the scope of discussion of the problem "A rational discussion in the overall context of the various claims" has been arranged by the Government for September 1962. The object is to examine with all those concerned and within the framework of the planning system the

* The most recent increases were 2.93 per cent in December 1961, and 2.46 per cent in June 1962.

** The strict application of the indexing system kept the minimum wage at a very low level and in fact helped rather to ease the pressure of costs.

*** Between different industries or even within the same industry where wide differences in earnings may generate feelings of frustration.

possibility of working out a concerted policy for distributing the benefits of economic progress, which will at the same time not endanger stability in any way.

54. The authorities are endeavouring to influence costs not only through their wages and incomes policy but also by acting on the other elements of costs. The policy of lower interest rates has helped lighten another cost burden. Similarly, the rapid liberalisation of trade and the reduction of customs duties has not only modified the conditions of competition but has made it easier for firms to obtain imported raw materials, the prices of which have remained below the level reached after the devaluation in 1959. On the other hand, in spite of strict management of the social security funds it has been impossible to avoid a certain increase in employers' costs connected with wages (increase of one point in January 1961). Furthermore while firms undertaking investment benefited by the introduction in 1960 of the declining balance system of depreciation for calculating direct taxation, the impact of indirect taxation on firms' operating accounts increased slightly, rising from 18.5 per cent of total expenditure in 1958 to 19 per cent in 1961. This relative increase may have some effect on price levels.

IV. THE FINANCIAL MECHANISM AND THE CAPITAL MARKET

General aspects of financial equilibrium

55. The restoration of general economic stability in France in the period since 1959, which is clearly shown in the trend of the balance of payments, has also been reflected in a major change in the conditions of internal financial equilibrium. During the years of inflation, internal savings fell short of overall investment expenditure and the difference was covered by net borrowing from the rest of the world, including both foreign countries and the Franc Zone, amounting to an average of NF 4.8 billion for the years 1956 to 1958, or more than 10 per cent of the gross investment carried out during that period. From 1959 onwards, there was a sharp increase in internal savings firstly by private industry, and from 1960 onwards by individuals, with the result that for the three years 1959 to 1961 internal savings amounted to NF 2.8 billion more than gross investment. This financial surplus in Metropolitan France was swollen by net borrowing from the rest of the Franc Zone (corresponding to an inflow of funds from these countries into Metropolitan France) of the order of NF 8.8 billion. It was the aggregate of these resources which made it possible during this period to finance net lending to foreign countries, in the

Table 8. GENERAL FINANCIAL EQUILIBRIUM

Billions of NF

	1956	1957	1958	1959	1960	1961
Financing capacity of Metropolitan France						
- Savings of national origin ...	32,840	37,760	45,000	48,920	56,610	58,190
- Gross investment made in Metropolitan France (including stocks	37,510	43,310	49,250	48,240	55,180	57,630
Financial surplus (+) or deficit (-) for Metropolitan France	-4,670	-5,550	-4,250	+ 680	+1,430	+ 560
Use made of this capacity						
- Net lending to (+) or net borrowing from (-) other countries of the Franc Area	-2,750	-3,940	-1,710	-2,300	-2,380	-4,140
- Net lending to (+) or net borrowing from (-) foreign countries outside the Franc Area .	-1,920	-1,610	-2,540	+2,980	+3,810	+4,700

SOURCE: Comptes de la Nation.

form of debt repayment and increased currency reserves, of the order of NF 11.5 billion.

56. The following are the outstanding features of the flow of finance in France during the recent period:

- a surplus on the public accounts (excess of revenue over Government current and capital expenditure),
- the utilisation by the Treasury of a substantial part of internal savings in addition to the surplus referred to above, to grant loans to firms,
- the very important part played by self-financing and by loans from the State and specialised institutions in the financing of investment by private industry,
- the still limited role of institutional savings and the capital market,
- the main forms taken by individual savings, namely house-building and liquid holdings,
- the large inflow of funds from the rest of the Franc Zone.*

Public Finance

57. The financial liabilities of the administrations in France are particularly heavy, since they have not only to supply the finance for substantial public investment (public works, etc.) but also large loans to the economy. It should be noted that gross public savings strickly defined (excess of revenue over current expenditure) is nearly always a positive sum. The budget difficulties of the period before 1958 arose from the fact that investment by administrations was growing steadily and that, in addition, State loans to the economy were also increasing. The Treasury "impasse" (which broadly corresponds to the gross increase in State indebtedness) thus reached a maximum of nearly NF 10 billion in 1957. The reforms introduced in 1958 again brought about substantial public savings which since that date have more than covered Government investment and brought the Treasury "impasse" (or "découvert") to about NF 6 billion. Since that time, therefore, the increase in the indebtedness of administrations has been less than the amount of loans and credits granted by the official sector, with the result that its net financial liabilities have not increased. It is also worthy of note that owing to the rise in prices and incomes, the size of the public debt relative to both national income and budget receipts is tending to decrease.

* See Table 13.

Table 9. FINANCIAL ACCOUNT OF METROPOLITAN ECONOMIC AGENCIES

	ENTERPRISES		HOUSEHOLDS		ADMINISTRATIONS		BANKS AND FINANCIAL INSTITUTIONS		TOTAL FOR METROPOLITAN ECONOMIC AGENCIES	
	1960	1961	1960	1961	1960	1961	1960	1961	1960	1961
RESOURCES										
Own resources	27,790	27,160	19,040	20,410	7,160	7,880	2,620	2,740	56,610	58,190
Insurance premiums (net)							1,240	1,400	1,240	1,400
Financial resources:										
- creation of money					1,990	2,170	9,630	13,340	11,620	15,510
- foreign exchange liabilities							- 750	- 590	- 750	- 590
- short-term securities					2,930	3,770	660	820	3,590	4,590
- credits, deposits and other short-term operations.	7,930	9,840	790	440	3,400	2,730	6,590	7,450	18,710	20,460
- issues of negotiable securities										
- bonds	3,230	3,600			30	490	1,170	1,730	4,430	5,820
- shares	2,630	3,650					180	140	2,810	3,790
Total	5,860	7,250			30	490	1,350	1,870	7,240	9,610
- medium-term credits	1,170	1,050					310	650	1,480	1,700
- long-term borrowing	10,490	11,410	2,480	3,880	2,780	2,410	4,360	4,160	20,110	21,860
Total of issues and borrowing	25,450	29,550	3,270	4,320	11,130	11,570	22,150	27,700	62,000	73,140
Minus:										
- bond repayments	- 940	- 840			-1,360	-1,130	- 190	- 290	-2,490	-2,260
- repayment of long-term loans	-1,430	-1,990	- 200	- 570	-1,890	-2,940	-1,210	-1,340	-4,730	-6,840
Net total of financial resources	23,080	26,720	3,070	3,750	7,880	7,500	20,750	26,070	54,780	64,040
Total resources	50,870	53,880	22,110	24,160	15,040	15,380	24,610	30,210	112,630	123,630
OUTLAYS										
Gross investment	40,180	41,400	8,860	9,170	5,900	6,790	240	170	55,180	57,530
Insurance premiums (net)	-	-	1,240	1,400	-	-	-	-	1,240	1,400
Financial outlays:										
- gold and foreign currency	-	-	520	-	- 10	-	2,600	3,610	3,110	3,610
- French currency	1,360	3,130	10,090	11,490	- 70	810	250	80	11,630	15,510
- credits, deposits and other short-term operations.	3,980	3,620	3,910	3,990	2,070	2,580	7,630	11,440	17,590	21,630
- purchases of short-term securities	4,290	5,010	3,120	5,990	740	350	2,950	2,190	11,100	13,540
- grant of medium-term credit	820	930			7,550	7,370	11,220	1,700	19,590	21,200
- grant of long-term credit							1,480	12,900	1,480	1,700
Total of investment and loans	10,450	12,690	17,640	21,470	10,280	11,110	26,130	31,920	64,500	77,190
Minus:										
- bonds repaid	- 150	- 140	-1,860	-1,640			- 530	- 510	-2,540	-2,290
- long-term loans repaid	- 70	- 70			-1,020	-1,440	-2,250	-2,610	-3,340	-4,120
Net total of financial outlays	10,230	12,480	15,780	19,830	9,260	9,670	23,350	28,800	58,620	70,780
Total outlays	50,410	53,880	25,880	30,400	15,160	16,460	23,590	28,970	115,040	129,710
Adjustments	+ 460		+3,770	+6,240	- 120	-1,080	1,020	1,290	5,130	6,450

Table 10. RELATIVE SIZE OF THE PUBLIC DEBT

	PUBLIC DEBT AS % OF NATIONAL INCOME	PUBLIC DEBT AS % OF BUDGET RECEIPTS
1913	64	680
1938	123	810
1949	70	320
1958	58	200
1961	51	180

SOURCE: "Statistiques et Etudes financières", April 1962.

58. The French Treasury is automatically supplied with large resources: Treasury bonds are sold to all comers at a rate of interest fixed by the Treasury, and the banks are obliged to place part of their customers' deposits in these bonds by the minimum holdings rule. Furthermore, the Treasury correspondents who have open accounts on the Treasury books automatically have their available assets increased as deposits in the savings banks or postal cheque accounts go up. Since 1959, these resources have exceeded the Treasury's needs arising from the overall budget deficit (découvert) and the servicing of long-term debt; the Treasury has, therefore, refrained from any long-term borrowing and has even managed to repay in advance part of the external debt. In addition, the minimum holding of Treasury bonds has been reduced several times* and interest rates have been cut. Apart from advance repayments to foreign countries, the State has put the surplus back into circulation and it cannot, therefore, be considered that the management of public funds has been deflationary in its effects.

59. The 1962 budget aims at keeping the "découvert" below NF 7 billion, the general balance of operations estimated in the 1962 Budget Act amounts to NF 7,060,000, compared with a balance of NF 6,857,000 for 1961. In actual fact, however, the real "découvert" was substantially lower than estimated in 1961, owing to the large increase in the revenue collected and some delay in the utilisation of credits, and it cannot be assumed that the same thing will happen in 1962, especially as large additional expenditure is already planned (for example assistance for persons repatriated from Algeria, increased civil service pay, social benefits for the aged). Furthermore, while in the last 3 years the Budget of final operations** was

* From 25 to 20 per cent on 31st January 1961, from 20 to 17.5 per cent on 30th June 1961, and from 17.5 to 15 per cent on 31st March 1962.

** This budget covers both current expenditure and investment by the State itself. Temporary operations cover expenditure (mainly loans and advances) and receipts (in the form of repayments of these).

Table 11. ACCOUNTS OF ALL ADMINISTRATIONS [1)]

NF million

	1954	1955	1956	1957	1958	1959	1960	1961
1. Gross public savings (surplus of receipts over current expenditure)	1,110	320	-1,630	-530	4,730	6,370	7,160	7,880
2. Investment by Administrations	3,390	3,770	4,120	4,540	5,010	5,710	5,900	6,790
3. Balance available for other financing	-2,280	-3,450	-5,750	-5,070	-280	+660	1,230	1,090
4. Net loans granted by Administrations	(3,410)	(3,940)	4,460	5,410	5,070	9,450	7,350	6,780
5. Overall deficit to be covered	(5,690)	(7,390)	9,210	10,480	5,550	8,790	6,090	5,690
6. "Découvert" of the Central Government	4,820	5,450	9,240	9,800	5,650	6,280		

1) Lines 1 to 5 cover all the operations carried out by the Administrative Sector (Central Government, local authorities, social security and a few private administrations). Line 6 indicates the global deficit of the Central Government successively termed the "impasse" and the "découvert".

SOURCE: Comptes de la Nation.

at least in balance, a deficit of NF 1,242 million is expected on this budget for 1962.

60. The Treasury plays an important role as a financial intermediary through its long-term lending and especially through the operations of the Fund for Economic and Social Development. By short-term borrowing the Treasury collects a proportion of national savings which it redistributes in the form of long-term credit either directly or through the media of the specialised financial institutions (Caisse des Dépôts et Consignations, Crédit National, Crédit Foncier, Crédit Apricole, etc.). These institutions grant long-term loans on their own account using resources acquired from borrowing on the capital market (Crédit Foncier, Crédit National) or, like the Treasury, by mobilising short-term savings deposited with them (Caisse des Dépôts). They also finance medium-term credit and by the end of 1961 were providing a quarter of this type of credit. The commercial banks, too, are playing an increasingly important part in this field and their portfolios of medium term negotiable securities are now equal in size to those held by the specialised institutions. The balance of medium-term credit, about half the total outstanding is financed by the Bank of France.

Credit policy

61. During the inflationary period before 1958, when the budget deficit was increasing, credit to the economy expanded very rapidly. There was, in particular, a marked rise in negotiable medium-term credit. In 1958, a brake was put on the expansion of short-term credit by fixing a ceiling on the total amount that could be granted while the medium-term credit system was reformed, on the one hand by a restriction on borrowings from the Bank of France to finance medium-term credits for housebuilding, and on the other by stabilising the amount of medium-term credit granted to nationalised undertakings, which were invited as an alternative to make greater use of the capital market. The effects of this policy were particularly noticeable in 1959 and 1960. The fresh expansion of medium-term credit in 1961 was directed mainly to the financing of investment in the private sector in line with official policy.

Table 12. PERCENTAGE TREND FROM YEAR TO YEAR (AS AT 31st DECEMBER) OF CREDIT TO THE ECONOMY FINANCED BY THE BANKING SYSTEM

	1956	1957	1958	1959	1960	1961
Short-term credit ..	+18.7	+ 8.3	+ 3.9	+16.7	+21.1	+19.6
Medium-term credit	+31.4	+27.9	+12.0	- 1.9	- 2.0	+12.4
Total credit to the economy	+22.0	+13.7	+ 6.4	+10.6	+14.4	+17.8

SOURCE: Conseil National du Crédit.

62. The substantial increase in short-term credit since 1959 is probably accounted for by the rapid development of industrial activity. Nevertheless, it occurs at a time when the large inflow of foreign exchange is already helping to swell liquid holdings. Thus, the total money supply rose by 15.5 per cent in 1961, after increasing by 14.6 per cent in 1960. Although such a rise need give no cause for alarm, insofar as it corresponds to a desire to reconstitute cash holdings, the monetary authorities thought it necessary to avoid too great an expansion of bank credit. The Governor of the Bank of France therefore decided, on 17th January 1962, to raise the liquidity ratio from 30 to 32 per cent as from 28th February. Despite the continued inflow of foreign exchange, the money market came under some strain in the following months.

Firms

63. French firms finance from their own resources (savings of individual entrepreneurs, undistributed profits and depreciation) well over half their investment in fixed assets and stocks. Short-term borrowing from the banking system serves mainly to build up cash balances, but it has recently been increasing more rapidly than these balances. Firms' long-term resources consist for the most part of loans granted by the Treasury and specialised institutions. Institutional saving is not abundant and the utilisation of the resources of insurance companies is subject to regulation. The contribution by the capital market to the financing of enterprises has increased but is still relatively small accounting for less than 15 per cent of total investment. To facilitate access by firms to the capital market, the Government has refrained since 1959 from issuing any long-term loans while continuing the regular servicing of past borrowing.

Personal savings

64. Households, after financing their own investment, i.e. mainly residential construction, still have considerable savings left. In 1960 and 1961 most of these resources were used to increase liquidity, with a marked rise in gold purchases in 1960. The forms taken by personal savings seem fairly easy to explain: the existence of real housing needs, the reconstitution of cash reserves with the return to monetary stability, and the persistence of a strong preference for liquid holdings natural in a period not free from political troubles. There was also an appreciable increase in acquisitions of negotiable securities between 1960 and 1961.

The flow of finance between France and foreign countries

65. Table 9 shows that the expenditure of households clearly exceeds their resources and in more general terms that the

Table 13. FINANCIAL OPERATIONS BETWEEN METROPOLITAN FRANCE AND THE REST OF THE WORLD

	1959		1960		1961	
	FRANC ZONE	FOREIGN	FRANC ZONE	FOREIGN	FRANC ZONE	FOREIGN
Current transactions						
Exports f.o.b.[1]	10,060	19,050	10,180	24,570	9,410	27,180
Imports c.i.f.[1]	6,900	19,080	6,810	24,200	7,160	25,890
Trade balance	+3,160	- 30	+3,370	+ 370	+2,250	+1,290
Official transactions	-7,890	- 210	-8,620	- 140	-9,160	- 120
Other services and transfers	+2,430	+3,220	+2,870	+3,580	+2,770	+3,530
Balance on current transactions	-2,300	+2,980	-2,380	+3,810	-4,140	+4,700
Financial outlays in Metropolitan France by the rest of the world						
Foreign currency liabilities of French banks		-1,070		- 750		- 590
Deposits and other short-term assets in francs	1,110	- 180	- 240	630	-1,310	300
Net purchases of French transferable securities		850		230	-	500
Long-term lending and direct investment		3,070	80	2,130	-	2,170
Minus:						
- repayment of long-term loans	- 10	- 890	- 10	-1,620	-	-2,920
Balance on financial outlays	1,100	1,780	- 170	620	-1,310	- 540
Financial outlays of Metropolitan France						
Gold and foreign currency assets		3,640		3,110		3,610
Net purchases of foreign or Franc Zone transferable securities	880	- 760	230	- 300		- 540
Short-term credit		120	- 60	- 90	200	340
Long-term lending and direct investment	1,740	1,320	800	890	570	940
Minus:						
- repayment of long-term borrowing	- 260	- 110	- 190	- 100	- 160	- 70
Balance on financial outlays of Metropolitan France	2,360	4,210	780	3,510	610	4,280
Net balance on outlays by Metropolitan France and foreign countries	1,260	2,430	950	2,890	1,920	4,820
Adjustments	-3,560	+ 550	-3,330	+ 920	-6,060	- 120
Total	-2,300	+2,980	-2,380	+3,810	-4,140	+4,700

1) Customs returns have been corrected to allow specially for imports and exports of military consignments.
SOURCE: Comptes de la Nation.

financial resources and expenditure of economic agents in Metropolitan France do not exactly balance. These differences are explained by transactions with the rest of the world. Current external operations show a balance which in the case of a surplus reflects a capacity to finance and in the case of a deficit represents a need for finance. The situation differs in the case of relations with Franc Zone countries and those with other foreign countries.

66. France's merchandise trade with countries of the Franc Zone shows a substantial surplus, though there was a downward trend in 1961 owing to falling exports to Algeria and growing purchases of petroleum products in the Franc Area. Recorded transactions in respect of services and other private transfers also show a surplus. On the other hand, Government expenditure in the Franc Zone countries, especially official aid, is such that there is a net deficit in France's current balance with the area. Recorded financial transactions between Metropolitan France and other parts of the Franc Zone do not make up this deficit: loans by Metropolitan France have diminished although they are still not negligible, while the other countries' assets held in the form of Metropolitan France are declining. This is really a matter of incomplete statistics which made it necessary to include very high figures under the heading "adjustments". It may reasonably be assumed that this balance on unspecified transactions mainly corresponds to inflows of private capital into Metropolitan France, but figures obtained by this residual method which possibly relate to other transactions, should be used with the utmost caution. Nevertheless, without a substantial increase in inflows from overseas sources in 1960-1961, it would be impossible to account for the present financial equilibrium of Metropolitan France.

67. Financial relations with foreign countries can be much more clearly understood from the balance of payments statistics. The national accounts data used in Table 13 have to vary slightly from the official balance of payments figures* particularly in the case of the balance on current transactions in order to keep them on a comparable basis with the other financial statistics. These differences arise mainly from the fact that in the National Accounts figures the balance of current payments is based on transactions recorded in Customs returns, whereas in the official balance of payments figures, settlements shown in the accounts of the Exchange Control Services are taken into consideration. The discrepancies between the two sets of estimates recur in the entry "adjustments" in Table 13, and are due, among other things to lags in payments. The financial figures from both sources** are reasonably consistent.

* See paragraphs 35 to 38 above.

** The national accounts tables make no distinction between foreign transactions in the private and public sectors, so that it is not possible to arrive at exactly the same figures in both cases. On the whole, however, the figures tally.

Long-term loans and direct investment in France by foreign residents greatly exceeded long-term lending and direct investment abroad by French nationals and there was a two-way movement in share transactions: foreign buying of French securities increased in 1960-1961, whereas there has been a good deal of disinvestment by French nationals since 1959.

The capital market

68. Although it became perceptibly stronger in 1961 the role of the capital market remains fairly modest and in no way comparable with what it was in the past, especially before 1914. The decline in the market for bonds is easily explained by currency depreciation, and to revive this market it was necessary for a long time to resort to various indexing systems particularly for loans issued by the nationalised undertakings (based for example on price per kWh), or by the State (indexed to the price of gold or share prices). Since the financial recovery of 1959, indexing systems have been prohibited and bond issues are made on a much sounder basis. Despite these stricter regulations, the volume of issues showed a marked increase between 1960 and 1961. Moreover, since the Treasury held off from long-term borrowing, private industry has had much easier access to the market although the nationalised undertakings and the specialised institutions which collect savings (Crédit National, Crédit Foncier, etc.) have also increased their loan issues. There is also a marked expansion in the share issues of joint stock companies and limited liability companies.

Table 14. PUBLIC ISSUES OF NEGOTIABLE SECURITIES

	YEAR 1960	YEAR 1961
Stocks and shares of limited liability companies	2.37	3.24
Bonds and loans	4.59	5.56
- Treasury	-	-
- Public bodies	0.02	0.24
- National undertakings	1.50	1.63
- Savings institutions	1.06	1.60
- Electricité et Gaz d'Algérie	0.13	-
- Private enterprise	1.88	2.09
Grand total of issues	6.96	8.80

SOURCE: Conseil National du Crédit.

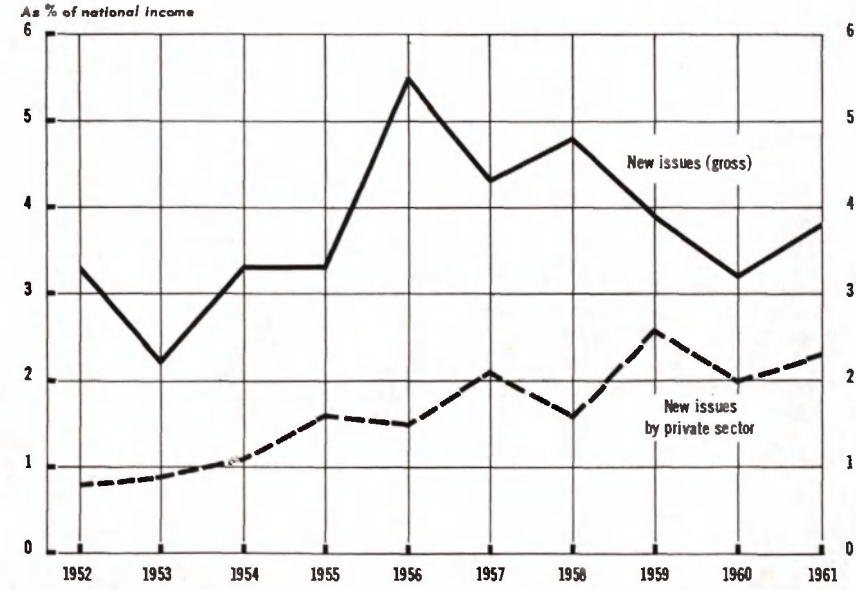
69. It is still the case, however, that in financing their investment firms have to rely primarily on their own resources

(undistributed profits and depreciation allowances) when they cannot obtain long-term loans from the Treasury or the specialised institutions, or medium-term loans. Foreign firms are also virtually excluded from the French capital market and in 1960 and 1961 transactions in negotiable securities between French nationals and foreign residents tended to increase rather than offset the surplus on current payments.

70. The resources available to the capital market are increasing but the demand for funds is also increasing, and on the bond market at least, is still greater than the supply. Moreover, as it is the Government's policy to try to bring down interest rates, a form of rationing has been necessary. Companies wishing to float loans of over NF 1,000,000 have to obtain authorisation by the Ministry of Finance,* which fixes the date for the issue in accordance with an overall timetable. At present, the interval between the application for authorisation and the issue of the loan is sometimes fairly lengthy and can be more than a year in certain cases. In this respect foreign concerns are subject to the same regulations as the French, but because of the urgency of outstanding national requirements, no place has yet been found for them in the above-mentioned timetable. Foreigners may freely negotiate French securities.

Diagram 3

GROSS SAVINGS OF CAPITAL MARKET



Source : Etudes et Conjoncture, March-April 1962.

* With a few exceptions, share issues are unrestricted.

Between the end of the war and the end of 1961, French residents were prohibited by exchange control from purchasing foreign securities without special authorisation: transactions involving such securities were confined to a special market for foreign currency securities, normally supplied through sales by other French residents. Since French residents have in recent years been selling more foreign securities than they have bought there ceased to be any difference in practice between the foreign exchange security market and the open market. It was therefore decided at the beginning of 1962 to abolish this arrangement, which means that transactions in this field are now completely free.

Table 15. YIELDS ON SECURITIES (%)

Bonds: Issue rates

Shares: Yields quoted on the Stock Exchange

	STATE GUARANTEED AND SIMILAR ISSUES	ISSUES BY PRIVATE FIRMS	SHARE YIELDS
1952	6.81	7.01	4.94
1953	6.82	7.13	4.97
1954	6.83	7.08	3.96
1955	6.15	6.47	2.99
1956	6.06	6.40	3.38
1957	6.99	-	3.01
1958	7.51	-	3.31
1959	6.54	6.45	2.48
1960	5.80	5.83	1.96
1961	5.64	5.72	1.63

SOURCE: I.N.S.E.E.

71. In spite of the rationing of demand, interest rates on the capital market are still high: the average rate on new bond issues by private firms in April 1962 was 5.72 per cent and allowing for the cost of issue, this represents a charge of something like 8 per cent for the borrower. No doubt a yield of 5 to 6 per cent is attractive to a faithful clientele of small investors, while institutional investors are required to earmark a small fraction of their resources for the purchase of specific categories of security. However, it is not likely to attract other classes of investor. There is in fact a certain amount of competition between bonds issued on the capital market and short or medium-term bonds issued by the Treasury or the Caisse National de Crédit Agricole for sale to the public. The latter are fixed interest bonds, some categories of which are of 3 to 5 years maturity. While such bonds may not be negotiable on the market, interest on them is payable in advance and tax-free. For some classes of investor this is a decisive

point in their favour. It should however be noted that the issue rates on Treasury bonds fell slightly in May 1962.

Prospects of financial equilibrium and problems of the capital market

72. It is probable that the conditions of financial equilibrium which prevailed in 1960 and 1961 will tend to be modified in future. Liquidity may well expand less rapidly than in the past two years. Consumer expenditure might grow faster than incomes, and eventually some reorientation might take place in the pattern of savings; this would probably encourage the expansion of the capital market. This would be a desirable development for many reasons. If the present trend in wages continues the capacity of firms for self-financing cannot grow as it has in the past and they will have to have easier and more extensive access to the capital market. This would also have the effect of lessening the rigidity in the allocation of capital that results from excessive self-financing. The restoring of an important role to the capital market would, moreover, provide greater opportunities for foreign borrowers and enable France once again to play its part as a major developed country in the international financing of investment. The task of the authorities, however, is not easy. If the State is to continue supplementing the inadequate borrowing facilities of certain firms through the grant of long-term loans, which is an important feature of French planning, the Treasury must have ample financial resources. While an overhaul of the money market and the methods of Treasury finance seems desirable, it raises a whole series of delicate problems which must be tackled with caution. The introduction of greater flexibility in the interest rate on Treasury bonds (possibly by requiring the banks to bid for Treasury bonds) could be a first step in this direction.

IV. CONCLUSIONS AND RECOMMENDATIONS

73. The economic situation in France is on the whole satisfactory. Production is expanding rapidly and without setbacks. There has been no serious strain on the labour market and the opportunities for further growth are very great. Personal incomes are rising at an increasing rate, and the standard of living is improving noticeably. The balance of payments shows a substantial surplus, part of the external debt has been repaid, and official gold and foreign currency holdings have now reached a high level.

74. The only immediate cause for anxiety is the trend of prices and wages. The increase in prices over the last three years seems to be mainly a reflection of the trend of agri-

cultural prices, something of a paradox in view of the substantial expansion of agricultural production in France and the difficulties in marketing it. There remains a great deal to be done in this connection both in streamlining and reorganising the distribution system and in bringing the trend of consumer prices into line with that of producer prices.

75. Over the last year there have been clearer signs of a spontaneous wage push with the result that the increase in real wages is tending to outstrip that in productivity. This development which is partly due to the making up of ground lost in the redistribution of the national income following the 1958 measures, is still limited and gives no grounds for alarm. Nevertheless if it were to get any stronger it might well endanger the possibility of financing the investment essential to future growth and it is desirable that the incomes policy now being worked out by the French authorities should lead to a balanced growth of incomes and a fair sharing out of the benefits of economic development.

76. The growth of the French economy over the somewhat troubled period of the last twelve years has been remarkable, but what is worth perhaps even greater attention is the experience of the last three years, during which substantial expansion has been achieved under conditions of equilibrium and within the context of an outward-looking economy. The attitude both of producers and of the authorities seems to indicate that the necessary conditions for the continuance of this balanced growth are satisfied. The instruments available to the State, including the Plan, control over the volume of public investment and public borrowing, should make its achievement certain. It is nonetheless true that the events of recent years, including certain international developments, have been especially favourable and it remains to be seen whether in the future the reconciliation of the long-term objectives of the Plan with the requirements of current economic policy can be achieved more successfully than has sometimes been the case in the past. It is also necessary to ensure that now that the country has ample modern production facilities, needs which have been relatively overshadowed in earlier periods such as housing, balanced regional development and education will be restored to their rightful place in the order of national priorities.

77. The surplus on France's balance of payments with foreign countries has remained substantial since 1959. The future is more uncertain in this sphere than in any other, but there is no reason to expect any appreciable reduction in this surplus in the near future in view of the advantageous competitive position acquired by French products after the 1958 devaluation, the rate at which costs are rising in the other leading industrial countries, and the considerable possibilities which still exist of improving the overall productivity of the economy as modernisation continues. There is certainly nothing exceptionable in the fact that a highly developed country should show a permanent

surplus on its current external transactions, provided this does not result in an accumulation of reserves which would endanger the balanced distribution of international liquidity. It has so far been possible to limit the rise in French reserves mainly through the Government's policy of early repayment of external debt, but the possibilities which still exist in this sphere are becoming fewer. A solution, which has many other things to recommend it, is that on the one hand the volume of exports of public capital, especially to developing countries should be maintained, and increased if need be while on the other, the gradual enlargement and liberalisation of the French capital market should result in it being opened to foreign business and institutional borrowing.

78. Greater exports of private capital, however, are unlikely to develop without a considerable strengthening of the French capital market which is still too modest in its dimensions having regard to the wealth of the country, and the French authorities feel that this evolution will be necessarily gradual. The fact that the capital market would, at present, be incapable of absorbing any substantial amounts of foreign issues reflects the fact that disposable private domestic savings tend, to an important extent, to be invested in short-term assets (Treasury Bills and Savings Deposits); these are mainly absorbed by the authorities to finance long-term loans to particular industries in support of the aims of the Modernisation and Development Plan. There is no indication that the system under which large quantities of savings are collected and redistributed by the authorities at present constitutes an obstacle to economic growth; indeed, to a large extent the system has been evolved by the Government to facilitate growth. To the extent that, once the idea of continuing stability is firmly established, the long-term market can expand and even improve upon the recovery which has taken place in the last few years, the role of the public bodies channeling private savings into investment may decline. Moreover, as private savings are progressively attracted towards the capital market, they would be able better to supplement public capital as a means of balancing the external account.

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STATISTICAL ANNEX

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Table I. ECONOMIC ACTIVITY

	1958	1959	1960	1961	1960		1961				1962		
					3rd QTR	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	APRIL	MAY
PRODUCTION													
1. Industrial production excluding building 1) (1952 = 100) ..	147	153	167	175	177	181	180	182	184	191	193	194	196
2. Building and public works 1) (1952 = 100)	121	120	124	130	125	125	130	129	133	127	131	134	
3. Housing units authorised, quarterly average (thousands)	86.3	85.9	89.4	90.8	92.9	90.7	87.5	95.7	78.1	101.4	87.6		
4. Energy production 1) (1952 = 100)	132	146	164	178	165	174	175	179	176	186	191	192	203
5. Motorcar production 1) (1952 = 100)	206	228	245	223	241	235	227	227	207	230	249	257	251
TRANSPORT													
6. S.N.C.F. goods traffic, (monthly average (millions of ton-km)	4,407	4,448	4,747	4,895	4,463	5,107	4,907	4,937	4,643	5,123	5,073	4,730	
7. S.N.C.F. passenger traffic, (monthly average (millions of passenger-km)..	2,692	2,620	2,640	2.790	3,283	2,437	2,357	2,733	3,497	2,560	2,345		
INTERNAL TRADE													
8. Turnover of department stores in Paris (1950 = 100) .	294	337	384	427	335	524	380	388	353	587	421	420	460
9. Multiple stores (1950 = 100) .	287	309	337	367	336	353	342	358	374	393	381		
EMPLOYMENT (all activities) 2)													
10. Index of labour force (1954 = 100)	105.9	104.4	105.0	105.7	105.7	105.0	105.0	105.9	106.5	105.8	106.4		
11. Working week (Hours)	45.6	45.6	45.9	45.9	46.1	45.7	45.8	46.1	46.1	45.9	46.0		
12. Index of the level of activity (1954 = 100)	106.9	105.1	106.5	107.9	107.8	106.2	106.4	108.0	108.6	107.9	108.7		
13. Unfilled vacancies 1) (Thousands)	28.3	24.7	25.1	37.1	24.9	28.5	32.3	36.3	37.2	45.4	48.7	46.1	48.1
14. Outstanding applications for employment 1) (Thousands)..	93	140	131	112	131	121	116	108	113	106	96	92	92
15. Unemployed receiving assistance 1) (Thousands)...	18.7	36.2	34.8	27.9	33.5	32.8	29.3	28.5	27.8	24.0	21.3	21.6	21.9
16. Permanent immigrant workers, monthly average (Number)..	6,900	3,680	4,075	6,573	3,728	4,348	5,210	7,394	6,048	7,640	9,058	10,668	

1) Index corrected for seasonal variations. Annual data for industrial production are calculated on a broader basis than monthly data.

2) End of quarter or month. Annual data are averages of the monthly data.

SOURCES : I.N.S.E.E. "Bulletin mensuel de statistique", "Etudes et conjoncture" and O.E.C.D. Statistical Bulletins.

Table II. PRICES AND WAGES

At end of quarter

	1958	1959	1960	1961	1960		1961				1962		
					3rd QTR	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	APRIL	MAY
WHOLESALE PRICES													
1. General index of wholesale prices (1949 = 100)	166.9	174.9	179.4	183.1	178.7	182.5	181.8	179.0	183.7	188.9	188.3	187.0	193.2
2. Farmers' prices (1955 = 100)..	142.4	134.1	139.8	142.3	139.4	139.7	138.3	138.0	142.6	147.6	151.1	148.5	151.8
3. Imported industrial raw materials (1949 = 100)	149.7	174.5	178.4	172.1	170.6	170.5	173.2	175.0	172.4	167.6	170.0	169.7	168.8
RETAIL PRICES													
4. Index of 250 articles (1-7-56 to 30-6-57 = 100) ...	118.9	126.2	130.8	135.1	132.1	133.0	133.1	132.4	134.9	138.3	139.7	139.8	140.6
5. Index of fresh fruit and vegetables [1] (1957 = 100)	104.4	101.3	98.5	109.7	92.3	98.4	91.4	113.3	124.9	119.4	138.0	136.3	126.7
6. Index of 179 articles (July 1957 = 100)					123.21	123.09	123.30	123.62	125.72	128.22	129.45	129.56	130.11
WAGES													
7. S.M.I.G. (New Francs)	1.465	1.561	1.6108	1.6425	1.6015	1.6385	1.6385	1.6385	1.6385	1.6865	1.6865	1.6865	1.6865
8. Hourly wage rate, all private activities (January 1956 = 100) .	125.1	133	141.9	152.7	144.3	147.0	149.6	152.9	155.3	158.7	161.3		
9. Net monthly remuneration of government employees (January 1951 = 100) (gross index = 370)	182.4	198.1	205.4	217.7	206.6	210.6	214.7	214.1	220.4	226.2	235.8	235.8	

1) Corrected for seasonal variations.
SOURCE : I.N.S.E.E. "Bulletin mensuel de statistique".

Table III. MONEY AND CREDIT

Thousand millions of New Francs at end of period

	1957	1958	1959	1960				1961				1962	
	DECEMBER	DECEMBER	DECEMBER	MARCH	JUNE	SEPTEMBER	DECEMBER	MARCH	JUNE	SEPTEMBER	DECEMBER	MARCH 1)	MAY
MONEY SUPPLY													
1. Note circulation	32.68	34.69	34.95	34.67	35.93	37.55	39.32	39.26	41.12	42.49	44.35	44.30	44.61
2. Sight deposits	37.94	40.26	48.21	47.26	49.75	51.81	55.34	57.06	58.76	60.25	65.00	65.99	67.75
3. Coinage	0.75	0.78	0.76	0.79	0.87	0.99	1.13	1.21	1.25	1.26	1.28	1.28	1.32
4. Total	71.37	75.73	83.92	82.72	86.55	90.35	95.79	97.53	101.13	104.00	110.63	111.57	113.68
5. Time deposits	3.83	4.13	5.43	6.18	6.49	6.99	7.58	8.58	9.20	9.37	9.66	10.59	10.37
6. Special accounts	0.15	0.38	0.85	1.00	1.13	1.28	1.43	1.56	1.68	1.86	2.04	2.26	2.34
COUNTERPART OF MONEY SUPPLY AND TIME DEPOSITS													
7. Claims on the State	30.13	31.10	31.31	30.93	32.08	33.00	33.33	33.35	33.08	35.16	34.62	34.24	33.24
8. Short-term credit	31.56	32.78	38.26	38.10	40.76	41.92	46.35	47.44	50.59	51.58	55.44	55.64	54.78
9. Medium-term credit financed by the banks	14.21	15.92	15.61	14.93	14.25	15.14	15.29	14.90	14.87	15.27	17.18	17.18	16.23
10. Total bank credit to the economy	45.77	48.70	53.87	53.03	55.01	57.06	61.64	62.34	65.46	66.85	72.62	72.82	74.01
11. Gold and foreign exchange : surplus of assets over liabilities	-0.31	-0.07	7.16	7.85	8.79	10.11	10.48	12.17	13.98	14.06	15.27	16.89	19.38
OTHER FINANCIAL TRANSACTIONS													
12. Savings bank deposits	18.72	21.91	25.70	27.00	27.34	28.21	29.51	30.30	30.66	31.63	33.20	34.27	34.58
13. Medium-term credit financed by specialised agencies and financial establishments	1.24	1.48	3.23	4.11	4.80	4.33	4.51	5.15	5.63	5.74	4.48	5.28	6.37
14. Yields on new issues of private company debentures	...	...	5.90	5.90	5.91	5.90	5.76	5.75	5.73	5.73	5.74	5.73	5.74

1) Provisional figures.

SOURCE : "Conseil national du crédit".

Table IV. EXTERNAL TRADE OF METROPOLITAN FRANCE WITH FOREIGN COUNTRIES

	1958	1959	1960	1961	1960		1961				1962	
					3rd QTR	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR
I. VALUE												
1. Imports c.i.f. monthly averages (in $ million)	339.1	321.6	407.5	435.7	385.9	422.2	428.5	453.4	393.8	466.8	515.2	482.0
2. Exports f.o.b. monthly averages (in $ million)	267.6	319.8	403.4	447.9	367.6	424.8	429.3	453.4	429.2	479.3	495.4	500.0
3. Balance (in $ million)	-71.5	- 1.8	- 4.1	+12.2	-18.3	+ 2.6	+ 0.8	+ 0.0	+35.4	+12.5	-19.8	+18.0
4. Percentage coverage of imports by exports	79	99	99	103	95	101	100	100	109	103	96	104
II. VOLUME												
5. Index of volume of exports 1) (1956 = 100)	105	136	163	183	161	166	167	181	191	187	189	
6. Index of volume of imports 1) (1956 = 100)	102	101	123	136	120	127	129	134	134	145	158	
III. PRICES												
7. Index of average export values (1956 = 100)	118	130	136	135	134	136	134	135	134	136	137	
8. Index of average import values (1956 = 100)	112	128	131	127	135	131	128	128	126	125	128	
9. Terms of trade (1956 = 100)	105	102	104	106	99	104	105	105	106	109	107	

1) Corrected for seasonal variations.
SOURCE : I.N.S.E.E. "Bulletin mensuel de statistique".

Table V. BALANCE OF PAYMENTS OF METROPOLITAN FRANCE WITH FOREIGN COUNTRIES

In million of dollars

	1959			1960			1961		
	RECEIPTS	EXPENDITURES	BALANCE	RECEIPTS	EXPENDITURES	BALANCE	RECEIPTS	EXPENDITURES	BALANCE
I. GOODS, SERVICES AND PRIVATE TRANSACTIONS									
1. Merchandise (f.o.b.-f.o.b.)	3,807	3,371	+ 436	4,502	4,410	+ 92	5,167	4,771	+ 396
2. Non-government services	1,214	993	+ 221	1,592	1,133	+ 459	1,698	1,331	+ 367
3. Government transactions	355	295	+ 60	386	294	+ 92	408	312	+ 96
4. Private transfers	48	15	+ 33	64	19	+ 45	116	21	+ 95
5. Balance on current payments	5,424	4,671	+ 750	6,544	5,855	+ 688	7,389	6,435	+ 954
II. CAPITAL TRANSACTIONS									
6. French loans and private investment [1]	195	57	+ 138	92	106	- 14	115	182	- 67
7. Foreign loans and private investment	563	120	+ 443	535	216	+ 319	707	282	+ 426
8. Debt and public investment	-	295	- 295	1	355	- 354	1	441	- 440
9. Total	758	472	+ 286	628	677	- 49	824	905	- 81
III. OTHER NON-MONETARY TRANSACTIONS									
10. Government grants	54	25	+ 29	-	55	- 55	34	59	- 26
11. Public interventions on the gold market [2]	-	8	- 8	-	-	-	-	-	-
12. Balances with overseas countries and transactions connected with changes in the composition of the franc zone	149	174	- 25	-	19	- 19	72	-	+ 72
13. Transactions in course of settlement, errors and omissions	14	-	+ 14	70	105	- 35	137	144	- 6
14. Total	217	207	+ 10	70	179	- 109	243	203	+ 41
15. Grand total	6,399	5,353	+ 1,046	7,242	6,711	+ 532	8,456	7,542	+ 913

1) Including for 1960 "Public intervention on the gold market".
2) See previous note.
SOURCE : Ministry of Finance.

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